

401(k) Plan Loan Administration Policy

Plan Name: Knight Train 401(k) Plan
Plan Number: 001

Article I. Eligibility

Section 1.01 Only active employees and parties in interest who participate in a defined contribution plan that allows for participant loans may request a loan. The participant requesting a plan loan must have a minimum vested account balance of \$2,000 to be eligible.

Article II. Cost

Section 2.01 A loan origination fee in the amount of \$50.00 shall be deducted from the loan amount approved.

Section 2.02 A maintenance fee of \$35.00 per year/per loan, deducted quarterly at a rate of \$8.75, will be assessed to the participant's account until the loan is paid in full.

Section 2.03 If a participant requests their loan check to be sent express delivery, an additional \$25.00 charge will be assessed against the loan check amount.

Article III. Minimum and maximum loan amounts

Section 3.01 The minimum loan amount that a participant may request is \$1,000.

Section 3.02 The maximum loan amount that a participant may request is \$50,000 or 50% of the vested account balance, whichever is less. The \$50,000 maximum loan amount is reduced by the highest loan balance during the past 12 months minus the loan balance on the date a new loan is made.

Section 3.03 If a participant has an outstanding loan through another qualified plan, 403(b) plan or 457 plan maintained by the same employer, the maximum loan amount available must be reduced by the highest outstanding loan balance during the past 12 months. The participant is responsible for ensuring that the aggregated loan amount on all plans sponsored by the same employer is the lesser of \$50,000 or 50% of the vested account balance.

Article IV. Number of loans permitted

Section 4.01 Except as provided in the addendum, the number of loans a participant may have outstanding at one time is two (2) as long as: (a) the loan repayments are submitted via payroll deduction; and (b) the plan allows for multiple loans. Loans may be refinanced if the participant qualifies.

Article V. Loan Initiation

Section 5.01 Loans are initiated when the participant applies for a loan via paper application, website or Voice Response Unit. The Promissory Note and Loan Check are combined into one document. By endorsing the check, the participant agrees to the terms of the Note and the repayment obligation.

Section 5.02 Plans will be required to execute the Loan Administration Policy prior to loans being made available. The Loan Administration Policy will allow participants to initiate and complete a loan request electronically without the plan's signature. If a paper application is used, the plan must sign each loan application submitted by its participants or the plan must sign a letter of instruction authorizing the processing of loan applications without an authorized plan signature.

Article VI. Distribution of loan amount

Section 6.01 Loan distribution amounts will be prorated across all available money types and investment funds unless another method and hierarchy are specified in the addendum.

Article VII. Types of loans available

Section 7.01 A General Purpose Loan has a term of twelve to sixty (12-60) months. No reason or documentation (other than a signed promissory note) is required when a participant requests a General Purpose Loan. The interest rate for this type of loan is fixed for the life of the loan.

Section 7.02 A Principal Residence Loan has a term of sixty one to one hundred eighty (61-180) months. This type of loan must be utilized for the purchase of a primary residence ONLY.

Section 7.03 Unless limited by checking below, loans will be allowed for any purpose allowable under ERISA.

[**X**] Loans are only permitted in the case of financial hardship. Applicants must submit proof of the hardship to the Plan Administrator. For this purpose, financial hardship is as defined under the safe harbor 401(k) hardship rules– (i) purchase of the applicant's principal residence, (ii) payment of tuition and related educational expenses for the next twelve months of post-secondary education for an applicant, their spouse or dependents, (iii) payment of expenses incurred or necessary to obtain medical care for an applicant, their spouse or dependents, (iv) to prevent foreclosure on or eviction from the applicant's principal residence, (v) payment of burial or funeral expenses for the applicant's deceased parent, spouse, children or dependents, (vi) payment of expenses for the repair of damage to the applicant's principal residence which qualify for the casualty deduction, or (vii) any other reason permitted under the safe harbor subsequent to the adoption of this policy.

Article VIII. Interest

Section 8.01 The interest rate on all loans made under this policy will be 1% over the Prime Rate published in the Wall Street Journal on the first business day of the month the loan is originated, unless otherwise indicated on the addendum. Interest paid on loans is not income tax deductible.

Article IX. Payment Requirements

Section 9.01 Scheduled payments must be made by payroll deduction. Loan repayments will be allocated to the participant's account according to current allocation percentages on the recordkeeping system.

Section 9.02 Once a new loan has been initiated, the appropriate payroll department will be sent a paper amortization schedule or an electronic file to begin loan payments. Loan repayments must begin on time or the loan payments will be in arrears. If loan payments are not caught up in time, the loan may default. Loan default results in adverse tax consequences to the participant.

Section 9.03 Loans are in arrears and delinquent when any payment is missed. A late loan payment notice will be issued after the end of the calendar quarter in which the payment is delinquent. If the loan is not paid up-to-date by the end of the calendar quarter after the calendar quarter in which a payment is first delinquent, the loan will be in default. In that event, the entire outstanding loan balance, consisting of the missed payments, remaining principal and all accrued but unpaid interest, will be reported to the IRS as taxable income on a Form 1099-R for the year in which the loan default occurs.

Section 9.04 Despite any grace periods permitted with respect to late loan payments, if a loan has not been fully repaid by the end of its term, the outstanding balance will be treated as a “deemed distribution” and will be reported to the IRS as taxable income. Thereafter, no further efforts will be made to collect on the loan.

Section 9.05 If the participant has a loan that defaulted at any time in the past, the participant will be permitted to take a new loan(s) so long as the new loan is repaid via payroll deduction. Participants may not refinance a loan that has previously defaulted.

Section 9.06 If a borrowing participant terminates employment and receives a full distribution or begins receiving periodic payments from the Plan, at the time a loan is outstanding, then the entire outstanding balance of the loan, including accrued interest, shall become immediately due and payable on the date of the full distribution or as of the first date that a periodic distribution payment is made from the Plan. The loan will be offset against the participant’s account balance or the loan may be paid in full. If payment is made by any means other than a cashier’s check (or equivalent), then subsequent loans and distributions will be held for 10 calendar days following the receipt of the payment.

Section 9.07 Except as otherwise provided by the plan, if a borrowing participant terminates employment and does not receive a full distribution or does not begin receiving periodic payments from the Plan, the following shall apply - *check Option A or B*:

☒ **Option A.** In the event that a participant defers distribution of their account balance, a loan offset will occur no later than the end of the month following the 60th day after the date of termination of employment or retirement. If the date is received more than 60 days after the termination of employment or retirement date, the loan offset will occur at the end of the month in which the termination of employment or retirement date is received.

☐ **Option B.** The participant may continue to repay the loan by making loan repayments to the Employer. The Employer will deposit the loan repayments in the Trust through the Employer’s payroll deduction process. The loan may be paid in full at any time or offset against the participant’s account balance.

Section 9.08 The participant’s outstanding loan balance will be offset upon receiving any type of distribution after severance of employment. As required by federal tax regulations, a participant’s defaulted loan will remain on the books until a qualifying event occurs, even though income has been reported to the IRS.

Section 9.09 All outstanding loan principal and accrued interest shall be treated as a distribution from the plan when your recordkeeping service provider is notified of a participant's death. A deceased participant's loan may not be transferred or assumed by the participant's beneficiary(ies). If a participant's loan has not been repaid as of the date of the participant's death, any distributions made from the deceased participant's plan account will be made net of any outstanding loan obligations. The amount of the outstanding loan as of the participant's date of death will be tax reported as a distribution to the participant or to the participant's estate as applicable.

Section 9.10 Partial Loan Prepayments - *check all applicable boxes:*

☐ **Option A** - Advance Payments Through Payroll Withholding - A participant may choose to make two or more payments in advance through payroll withholding. These payments will be applied as follows:

☐ According to the current amortization schedule. Payments may not be made more than six months in advance.

☐ First to the current payment due, and then to the outstanding principal of the loan. The maturity date of the loan will be accelerated.

☒ **Option B** - Principal Reduction - A participant may make a payment of principal reduction. The amount will be applied first to any payments due and then to the outstanding principal of the loan. A new amortization schedule with an accelerated maturity will be produced.

Section 9.11 When a participant takes a leave of absence of not longer than 1 year, either without pay from the employer or at a rate of pay that is less than the amount of the installment payments required under the terms of the loan, the plan should provide leave of absence information for a leave start and stop dates. The loan may be re-amortized when the participant returns from leave to pay the loan in full by the maturity date of the loan.

If the participant takes a military leave of absence, the interest rate on the loan may be reduced to 6%, if the interest rate on the loan is greater than 6%, during the leave period not to exceed 5 years. Upon the participant's return from military leave, the term of the loan may be extended by the term of the military leave, not to exceed 5 years, and the loan will be re-amortized.

Article X. Early Loan Payoff

Section 10.01 A loan can be paid in full at any time. The participant may obtain a loan payoff quote via website or Voice Response Unit. The loan payoff quote is valid for 15 days from the date it is obtained. If payment is made by any means other than a cashier's check (or equivalent), then subsequent loans and distributions will be held for 10 calendar days following the receipt of the payment.

Article XI. Changes in Law

Section 11.01 This Loan Administration Policy has been developed to comply with the requirements of Internal Revenue Code section 72(p) and the federal Treasury regulations thereunder, as amended from time to time. Future tax laws regarding plan loans will be incorporated into this Loan Administration Policy and the Promissory Note.

Article XII. Enforcement

Section 12.01 The recordkeeping service provider is required to enforce these rules on behalf of the Plan Administrator.

Article XIII. Amendment of Loan Policy

Section 13.01 The Plan Administrator shall have the right to amend the provisions of this Loan Policy at any time. Any such amendment shall be effective with respect to all loans granted hereunder, whether such loans were granted before or after the adoption of said amendment, provided applicant is given written notice of such amendment.

Article XIV. Certification of Loan Policy

The Plan Administrator hereby certifies that it has adopted and approved this Loan Policy pursuant to its authority granted under the Plan.

Dated this 22nd day of December, 2022



Plan Administrator Signature

Addendum to Loan Administration Policy

Plan Name:

Plan Number:

If any of the items below are elected, they will supersede the provisions of the Loan Policy:

Section 4.01

[**X**] A participant may have 3 loans outstanding at one time.

[] Loans may not be refinanced.

Section 6.01

[**X**] The maximum available loan will be calculated based upon all vested balances; however, the loan will only be funded from the following money types:

Pre-tax and after-tax employee participant deferrals only.

Section 8.01

[**X**] The interest rate on all loans will be 1% over Prime Rate as described in the Loan Policy.



Plan Administrator Signature

12/22/2022

Date